FIRE PROTECTION SUBCONTRACT AGREEMENT

This Fire Protection Subcontract Agreement (this "Subcontract") is entered into as of August 1, 2025 (the "Effective Date"), by and between **Northgate Builders Group**, a California corporation holding California Contractors State License Board Class B License No. 1047721, with its principal office at 2150 Harbor Ridge Drive, Suite 300, Sacramento, California 95815 ("Contractor"), and **Allied Fire Protection, Inc.**, a California corporation holding California Contractors State License Board Class C-16 (Fire Protection) License No. 988432, with its principal office at 4410 Industrial Parkway, Modesto, California 95354 ("Subcontractor").

Contractor has entered into a prime contract dated June 16, 2025 (the "Prime Contract") with **Coastal Logistics REIT** ("Owner") for construction of the project known as **Port of Stockton Warehouse 7**, located at 2600 Wharf Access Road, Stockton, California 95203 (the "Project"). Contractor wishes to engage Subcontractor to perform the fire protection work for the Project, and Subcontractor wishes to perform that work, on the terms stated below.

In consideration of the mutual promises in this Subcontract, Contractor and Subcontractor agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 "Architect" means Delmar Pacific Architects, LLP, or any successor design professional appointed by Owner under the Prime Contract.

1.2 "Contract Documents" means the documents listed in Article 2.

1.3 "Subcontract Work" means all labor, materials, equipment, engineering, permits, testing, and services required to complete the scope described in Article 3, together with all work reasonably inferable from the Contract Documents as necessary to produce a complete and operable fire sprinkler system.

1.4 "Final Completion" means the stage at which the Subcontract Work is fully complete, all punch list items are corrected, the system has received final acceptance from the authority having jurisdiction, and all closeout submittals required by Article 12 and the Contract Documents have been delivered and accepted.

1.5 "Fire Marshal" means the Stockton Fire Department Fire Prevention Division, or any other authority having jurisdiction over the fire protection systems for the Project.

1.6 "Backcharge" means any cost, expense, or loss incurred by Contractor that is chargeable to Subcontractor under this Subcontract, including costs of correcting, completing, or cleaning up after the Subcontract Work.

ARTICLE 2 — CONTRACT DOCUMENTS

2.1 The Contract Documents consist of: (a) this Subcontract, including its Exhibit; (b) the Prime Contract, to the extent it relates to the Subcontract Work, with pricing information redacted; (c) the Drawings prepared by the Architect and its consultants, dated May 30, 2025, sheets FP-001 through FP-412 and the related architectural and structural sheets; (d) the Project Manual dated May 30, 2025, including Division 01 and Specification Sections 21 05 00 (Common Work Results for Fire Suppression), 21 08 00 (Commissioning of Fire Suppression), 21 11 19 (Fire Department Connections), 21 13 13 (Wet-Pipe Sprinkler Systems), and 21 13 39 (ESFR Storage Sprinkler Systems); (e) Addenda 1 through 3; and (f) any written modifications issued after the Effective Date under Article 10.

2.2 Subcontractor is bound to Contractor by the terms of the Contract Documents, and assumes toward Contractor all obligations that Contractor assumes toward Owner under the Prime Contract, to the extent those obligations relate to the Subcontract Work.

2.3 If the Contract Documents conflict, the stricter requirement or the greater quantity or quality governs, unless Contractor directs otherwise in writing. Subcontractor shall promptly report any discovered conflict, error, or omission to Contractor in writing before proceeding with affected work.

ARTICLE 3 — SCOPE OF SUBCONTRACT WORK

3.1 Subcontractor shall furnish and install a complete, code-compliant, hydraulically calculated automatic fire sprinkler system for the Project's approximately 412,000 square-foot tilt-up distribution warehouse, including Early Suppression Fast Response (ESFR) ceiling sprinklers throughout the storage area, standard-response wet-pipe systems in the office and dock areas, the underground fire service from the point of connection five feet outside the building line, fire risers, fire department connections, control valves, tamper and flow devices (for connection by others), seismic bracing, hangers, and all trim.

3.2 Subcontractor shall prepare and stamp shop drawings and hydraulic calculations by a California-registered fire protection engineer or a NICET Level III technician as permitted by the Fire Marshal, obtain all fire sprinkler permits, and pay associated plan check and inspection fees.

3.3 Subcontractor shall perform all flushing, hydrostatic testing, and acceptance testing required by NFPA 13 and NFPA 24, as adopted and amended by the California Fire Code, and shall coordinate inspections with the Fire Marshal and Owner's insurance underwriter.

3.4 The following are excluded from the Subcontract Work: fire alarm system devices and wiring, the domestic water service, site utility work beyond the point of connection stated in Section 3.1, and painting of exposed piping except where specified in Section 21 05 00.

ARTICLE 4 — SUBCONTRACT SUM

4.1 Contractor shall pay Subcontractor, for full and complete performance of the Subcontract Work, the sum of **Four Hundred Twelve Thousand and No/100 Dollars ($412,000.00)** (the "Subcontract Sum"), subject to additions and deductions by written change order under Article 10.

4.2 The Subcontract Sum includes all applicable sales and use taxes, permit fees, engineering, freight, equipment, insurance costs, and Subcontractor's overhead and profit.

4.3 The Subcontract Sum is allocated in the Schedule of Values attached as the Exhibit. Subcontractor shall use the Schedule of Values for all payment applications, and shall not rearrange or reallocate it without Contractor's written approval.

ARTICLE 5 — TIME AND SCHEDULE

5.1 Subcontractor shall begin the Subcontract Work upon Contractor's written notice to proceed and shall carry out the Subcontract Work in accordance with Contractor's construction schedule, as Contractor may update it from time to time.

5.2 Time is of the essence. Subcontractor shall provide sufficient labor, materials, and supervision to maintain its sequence of work and shall attend weekly coordination meetings.

5.3 If Subcontractor is delayed by causes beyond its control and without its fault, it shall be entitled to an extension of time equal to the delay, provided it gives Contractor written notice within five (5) days after the start of the delay. Subcontractor's recovery of delay damages is limited to amounts Contractor actually recovers from Owner on Subcontractor's behalf.

5.4 Subcontractor shall complete overhead sprinkler rough-in in each building quadrant in time to allow the Fire Marshal's overhead inspection before the scheduled installation of high-bay lighting in that quadrant.

ARTICLE 6 — PROGRESS PAYMENTS

6.1 On or before the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an application for payment covering Subcontract Work completed through the end of that month, itemized according to the Schedule of Values and accompanied by the lien releases required by Article 8, certified payroll where required, and any other supporting documentation Contractor reasonably requests.

6.2 Contractor shall include Subcontractor's approved application in Contractor's own payment application to Owner. Contractor may adjust Subcontractor's application to reflect the Architect's certification of the percentage of Subcontract Work completed.

6.3 This Subcontract uses pay-when-paid payment timing. Contractor shall pay Subcontractor each progress payment within seven (7) days after Contractor receives payment from Owner for the Subcontract Work covered by that application. Contractor and Subcontractor expressly agree in writing to this payment timing, and acknowledge that this Section sets the time for payment and is consistent with California Business and Professions Code Section 7108.5.

6.4 Owner's payment to Contractor fixes the timing of Contractor's payment to Subcontractor but is not a condition precedent to Contractor's obligation to pay. If Owner fails to pay Contractor for reasons not attributable to Subcontractor, Contractor shall pay Subcontractor for properly completed and approved Subcontract Work within a reasonable time.

6.5 Contractor will pay only for Subcontract Work actually incorporated into the Project. Contractor will not make payment for materials or equipment stored on site or off site that have not been installed, and Subcontractor shall not include stored materials in any payment application.

6.6 No progress payment constitutes acceptance of defective or nonconforming work.

ARTICLE 7 — RETENTION

7.1 Contractor shall withhold retention of ten percent (10%) from each progress payment to Subcontractor until the Subcontract Work is fifty percent (50%) complete as certified by the Architect.

7.2 After the Architect certifies that the Subcontract Work is fifty percent (50%) complete, retention on further progress payments shall be five percent (5%). Retention withheld at the ten percent (10%) rate before that certification remains retained and is not released at the time of the reduction.

7.3 Contractor shall pay Subcontractor all retention held under this Subcontract within ten (10) days after both of the following have occurred: (a) Final Completion of the Subcontract Work, and (b) Contractor's receipt of

retention from Owner covering the Subcontract Work. This Section is intended to be consistent with California Civil Code Sections 8812 and 8814.

7.4 Release of retention is also conditioned on Subcontractor's delivery of the final releases required by Section 8.4 and the closeout materials required by Section 12.4.

7.5 If Subcontractor fails to perform its obligations in a way that would entitle Contractor to withhold under Article 9, Contractor may apply retention to those obligations in accordance with applicable law.

ARTICLE 8 — LIEN WAIVERS AND RELEASES

8.1 Subcontractor shall deliver a conditional waiver and release on progress payment with each application for payment, covering the amount requested, as a condition of Contractor processing that payment.

8.2 Subcontractor shall deliver an unconditional waiver and release on progress payment after it receives each progress payment, covering the amount actually received. Contractor may withhold the next progress payment until the unconditional waiver for the prior payment is delivered.

8.3 Subcontractor shall obtain and deliver to Contractor, with each application for payment, conditional and unconditional waivers and releases from each of its lower-tier subcontractors and material suppliers whose work or materials are included in the application. Lower-tier waivers shall be furnished on the same schedule and conditions that apply to Subcontractor's own waivers under Sections 8.1 and 8.2.

8.4 With its final payment application, Subcontractor shall deliver a conditional waiver and release on final payment, and after receiving final payment, including retention, an unconditional waiver and release on final payment, together with corresponding final waivers from all lower-tier subcontractors and suppliers.

8.5 All waivers and releases under this Article, including lower-tier waivers, shall be on the statutory forms set out in California Civil Code Sections 8132, 8134, 8136, and 8138, as applicable, without modification. Contractor will not accept waivers on any other form.

ARTICLE 9 — WITHHOLDING, BACKCHARGES AND SETOFF

9.1 Contractor may withhold from any payment due Subcontractor an amount reasonably sufficient to cover the cost of correcting defective or nonconforming Subcontract Work that has not been remedied, until the work is corrected and accepted.

9.2 Contractor may set off Backcharges against any amount owed to Subcontractor under this Subcontract. Backcharges include, without limitation, costs of cleanup Subcontractor fails to perform after twenty-four (24) hours' written notice, repair of damage Subcontractor causes to the work of others, re-inspection fees caused by Subcontractor's failed inspections, and costs of supplementing Subcontractor's forces under Section 14.2.

9.3 Contractor may also withhold amounts reasonably necessary to protect against: (a) unpaid claims of Subcontractor's lower-tier subcontractors, suppliers, or laborers; (b) recorded mechanics liens or stop payment notices arising from the Subcontract Work; (c) Subcontractor's failure to deliver required lien waivers or insurance certificates; and (d) a reasonable likelihood that the Subcontract Work will not be completed for the unpaid balance of the Subcontract Sum.

9.4 Contractor shall give Subcontractor written notice identifying the basis and amount of any withholding or setoff. Contractor shall pay withheld amounts within seven (7) days after the basis for withholding is removed, subject to Section 6.3.

ARTICLE 10 — CHANGES

10.1 Contractor may, without invalidating this Subcontract, order changes in the Subcontract Work by written change order or written construction change directive. Subcontractor shall proceed promptly with changed work as directed.

10.2 Subcontractor shall submit a detailed price proposal for any change within seven (7) days after Contractor's request, broken down by labor, materials, equipment, and markup. Markup on Subcontractor's own work shall not exceed ten percent (10%) for overhead and profit combined, and markup on lower-tier work shall not exceed five percent (5%).

10.3 Subcontractor shall not be paid for any extra work performed without a written change order or directive signed by Contractor's project manager. Oral instructions do not entitle Subcontractor to additional compensation.

10.4 Claims for adjustment of the Subcontract Sum or time shall be submitted in writing within seven (7) days after Subcontractor first recognizes the condition giving rise to the claim, so that Contractor may present the claim to Owner within the time allowed by the Prime Contract.

ARTICLE 11 — INSURANCE AND INDEMNITY

11.1 Before starting work, Subcontractor shall furnish certificates of insurance showing the following minimum coverage, maintained until Final Completion and, for completed operations, for ten (10) years thereafter: commercial general liability of $2,000,000 per occurrence and $4,000,000 aggregate; business automobile liability of $1,000,000 combined single limit; workers' compensation at statutory limits with employer's liability of $1,000,000; and umbrella or excess liability of $5,000,000.

11.2 Contractor, Owner, and Architect shall be named as additional insureds on Subcontractor's general liability, automobile, and umbrella policies on a primary and noncontributory basis, using endorsements equivalent to ISO forms CG 20 10 and CG 20 37. All policies shall contain a waiver of subrogation in favor of the additional insureds.

11.3 To the fullest extent permitted by law, including California Civil Code Section 2782.05, Subcontractor shall defend, indemnify, and hold harmless Contractor, Owner, and Architect and their officers and employees from claims, damages, losses, and expenses, including reasonable attorneys' fees, to the extent arising out of or relating to the negligence, recklessness, or willful misconduct of Subcontractor, its lower-tier subcontractors, or anyone for whose acts they are responsible. This indemnity does not apply to claims arising from the active negligence or willful misconduct of an indemnitee, or to defects in design furnished by an indemnitee.

ARTICLE 12 — WARRANTY AND CORRECTION OF WORK

12.1 Subcontractor warrants that all materials and equipment furnished will be new, listed and approved for their intended use by UL or FM Global, and free of defects, and that the Subcontract Work will conform to the Contract Documents and applicable codes.

12.2 Subcontractor shall correct, at its own cost, any defect in the Subcontract Work that appears within one (1) year after the date of substantial completion of the Project, or such longer period as the Contract Documents require. Subcontractor shall begin correction within forty-eight (48) hours after written notice, or immediately in case of a leak or system impairment.

12.3 Subcontractor shall promptly remove and replace work rejected by the Architect or the Fire Marshal and shall pay for repair of any work of others damaged by that removal.

12.4 At closeout, Subcontractor shall deliver as-built drawings, final hydraulic calculations, the Contractor's Material and Test Certificates for aboveground and underground piping, operation and maintenance manuals, a spare sprinkler cabinet with wrenches, and a minimum two-hour training session for Owner's facility staff.

ARTICLE 13 — SAFETY, LICENSING AND COMPLIANCE

13.1 Subcontractor shall comply with Contractor's site safety program and with Cal/OSHA regulations, and shall maintain a written Injury and Illness Prevention Program. Subcontractor shall provide a competent person for all work at height, including aerial lift operations in high-bay areas.

13.2 Subcontractor represents that it holds, and shall maintain throughout performance, a valid California C-16 Fire Protection contractor's license, and that all fitters performing the Subcontract Work hold certifications required by California law.

13.3 Subcontractor shall maintain registration with the California Department of Industrial Relations where required, and shall comply with all wage, hour, and payroll requirements applicable to the Project.

13.4 Subcontractor shall keep its work areas clean and shall remove its debris daily to Contractor's designated dumpsters.

ARTICLE 14 — DEFAULT AND TERMINATION

14.1 Subcontractor is in default if it fails to supply adequate labor or materials, fails to maintain the schedule, fails to pay its lower-tier subcontractors or suppliers, disregards applicable law or Contractor's directions, or otherwise materially breaches this Subcontract.

14.2 If Subcontractor fails to cure a default within three (3) working days after written notice, Contractor may, without prejudice to its other remedies, supplement Subcontractor's forces or take over and complete all or part of the Subcontract Work, and charge the cost, plus ten percent (10%) for supervision and administration, against amounts due Subcontractor.

14.3 Contractor may terminate this Subcontract for default if Subcontractor fails to cure within the period stated in Section 14.2. In that event, Subcontractor shall not receive further payment until the Subcontract Work is complete, and shall pay Contractor any amount by which Contractor's completion costs exceed the unpaid balance of the Subcontract Sum.

14.4 Contractor may terminate this Subcontract for convenience on seven (7) days' written notice. Subcontractor shall then be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs and overhead and profit on completed work only, but not anticipated profit on unperformed work.

ARTICLE 15 — DISPUTES AND GOVERNING LAW

15.1 This Subcontract is governed by the laws of the State of California, without regard to its conflict of laws rules.

15.2 The parties shall first attempt to resolve any dispute through negotiation between senior representatives within fifteen (15) days after written notice of the dispute. Disputes not resolved by negotiation shall be submitted to non-binding mediation in San Joaquin County before litigation.

15.3 Any litigation arising from this Subcontract shall be brought in the Superior Court of California, County of San Joaquin. Where a dispute involves Owner's responsibility, Subcontractor agrees to be bound by the dispute resolution procedures of the Prime Contract and to the outcome of those procedures to the same extent Contractor is bound.

15.4 Subcontractor shall continue performing the Subcontract Work during the pendency of any dispute, and Contractor shall continue making undisputed payments.

ARTICLE 16 — GENERAL PROVISIONS

16.1 Subcontractor shall not assign this Subcontract or sublet any portion of the Subcontract Work without Contractor's prior written consent.

16.2 Notices shall be in writing and delivered personally, by recognized overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates by notice.

16.3 This Subcontract, with the Contract Documents, is the entire agreement between the parties regarding the Subcontract Work and supersedes all prior proposals and negotiations. It may be amended only by a writing signed by both parties.

16.4 If any provision of this Subcontract is held unenforceable, the remaining provisions remain in effect, and the unenforceable provision shall be applied to the maximum extent permitted by law.

16.5 Contractor's waiver of any breach does not waive any other or later breach. Headings are for convenience only.

16.6 This Subcontract may be signed in counterparts and by electronic signature, each of which is deemed an original.

IN WITNESS WHEREOF, Contractor and Subcontractor have signed this Subcontract as of the Effective Date.

NORTHGATE BUILDERS GROUP By: _____ Name: Marcus D. Ellery Title: Vice President, Operations Date: _____

ALLIED FIRE PROTECTION, INC. By: _____ Name: Renata J. Solis Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Scheduled Value
---	---	---

1	Mobilization, submittals, and permits	$18,000.00
2	Engineering, hydraulic calculations, and shop drawings	$24,000.00
3	Underground fire service and fire risers	$46,000.00
4	ESFR and wet-pipe mains and branch lines — materials	$118,000.00
5	ESFR and wet-pipe system installation — labor	$132,000.00
6	Seismic bracing and hangers	$20,000.00
7	Fire department connections, control valves, and trim	$22,000.00
8	Flushing, hydrostatic testing, and Fire Marshal inspections	$20,000.00
9	Closeout, as-built drawings, O&M manuals, and training	$12,000.00
	****Total Subcontract Sum****	****$412,000.00****